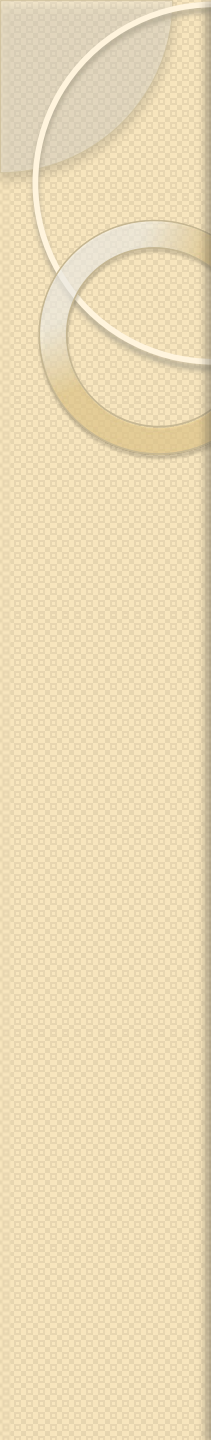


Land and Property Rights Transfer Process

**Land Management Training
Centre
Dhulikhel, Kavre**

Land Registration process:

- Land registration and its importance
- types of registration: Private Conveyancing, registration of deed, registration of title
- difference between various registration systems
- merits and demerits of registration system
- land property right transfer process, multiple/joint ownership



Land Registration & its Importance

Land

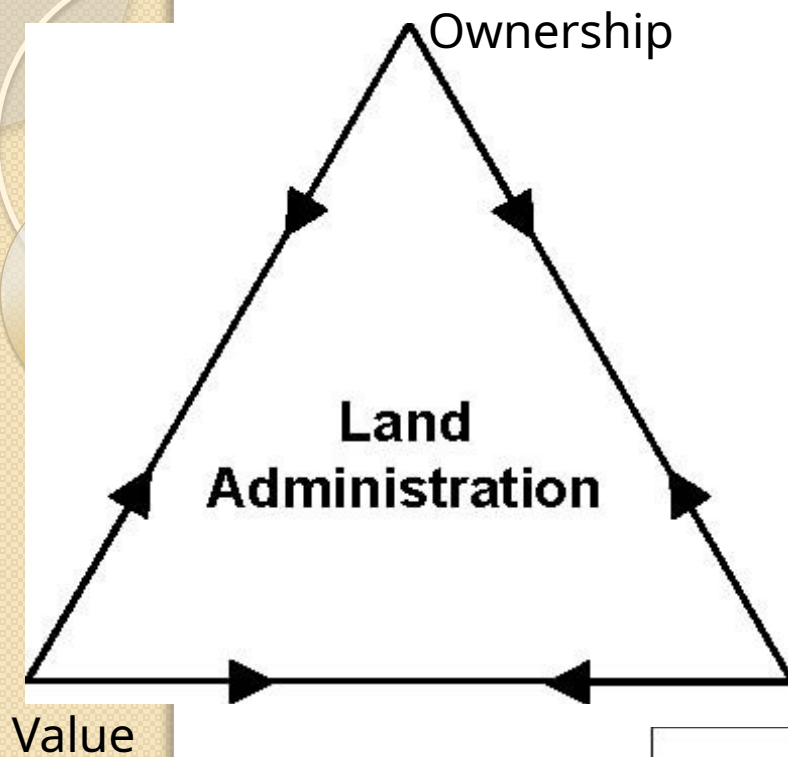
- Land is a fundamental resource with much of human life, activities and personal property having consequential links with specific pieces of land (Larsson, 1991).
- The United Nations Economic Commission for Europe estimates 20 % or more of any country's GDP comes from land, property and related construction (UNECE, 1996).

Land Administration

It is the process of determining, recording and disseminating of information on Land **ownership, value and use of land** when implementing **land management policy** (UN/ECE,1996).

Land policy:

- “Land policy consist of the whole complex of legal and socioeconomic prescriptions that dictate how the land and the benefits from the land are to be allocated” (page 47 LA Guidelines,1996).
- “The rules governing access to and the distribution of the benefits from one of the economy’s main assets”(page 178, Deininger 2003).

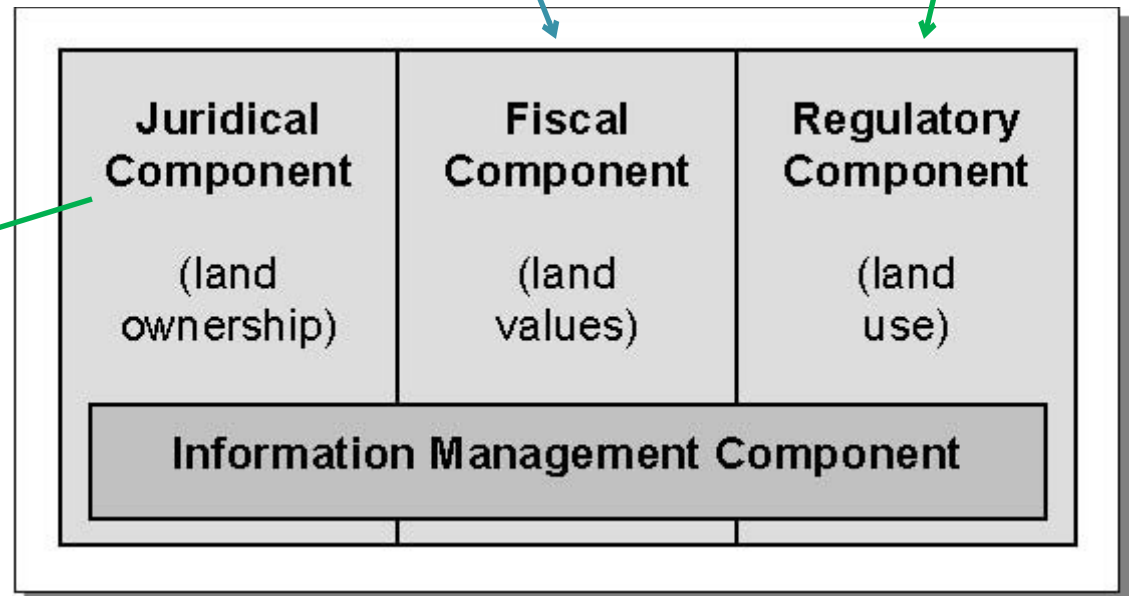


Concerned with development and use of land

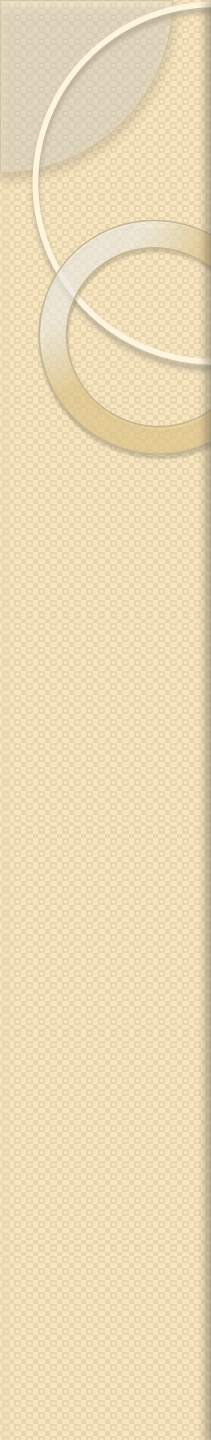
Emphasis on land
tax
Use

Value

Emphasis on the holding and registration of rights in land.



(Dale and McLaughlin, 1999)



Land Administration (LA)

Why do you need?

- Economic development
- Sustainability of the environment
- Fostering Good Governance
-

Land and Property Right Transfer process



Land Registration:

- process of recording legally recognized interests (ownership and/or use) in land (McLaughlin/Nichols 1989)
- Land registration: process of official recording of rights in land (Who & How)

Land and Property Right Transfer process

Why land Registration ?

- without registration complex transactions rather risky; land market not very active
- registration system reduces uncertainty, but of course against costs.
- systems often not designed to minimize these costs (and use insurance principle)
- Means for recognizing formalized property rights
- Regulating character and transfer of rights

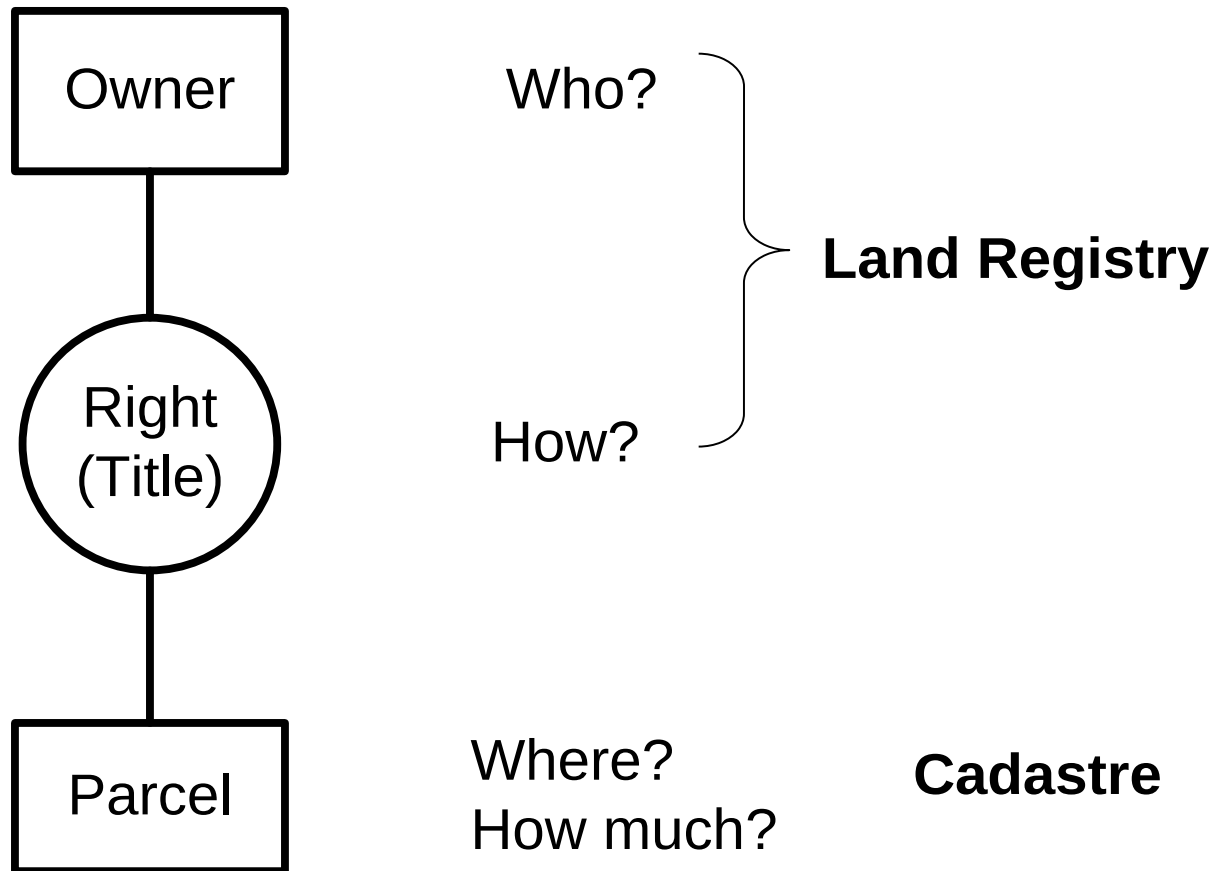
Land registration

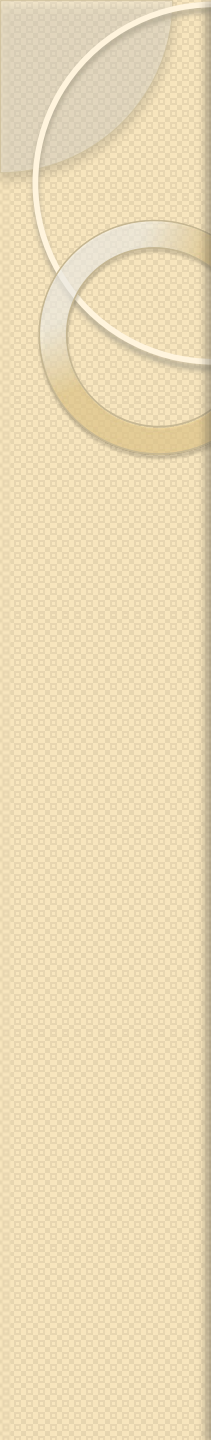
- Land registration is the recording of rights in land through deeds or as title (Dale and McLaughlin, 1998).
- It is “a process of official recording of rights in land through deeds or as title on properties. It means that there is an official record (land register) of rights on land or of deeds concerning changes on the legal situation of defined units of land (Henssen and Williamson, 1990; and Henssen, 1995)
- It gives an answer to the questions *who* and *how*.

Cadaastre

- “Cadaastre is an official record of information about land parcels, including details of their bounds, tenure, use & value” (McLaughlin/Nicholas, 1989)
- “Cadaastre is an information system consisting of two parts: a series of maps or plans showing the size & location of all land parcels together with text records that describe the attributes of the land” (UN/ECE, 1996).
- It gives the answer *where & how much*.
- It consists of 2 parts: a geographic part (map or plan) and a descriptive part (register or indexes)
- Land recording is usually used to indicate land registration and cadaastre together as a whole. They complement each other.

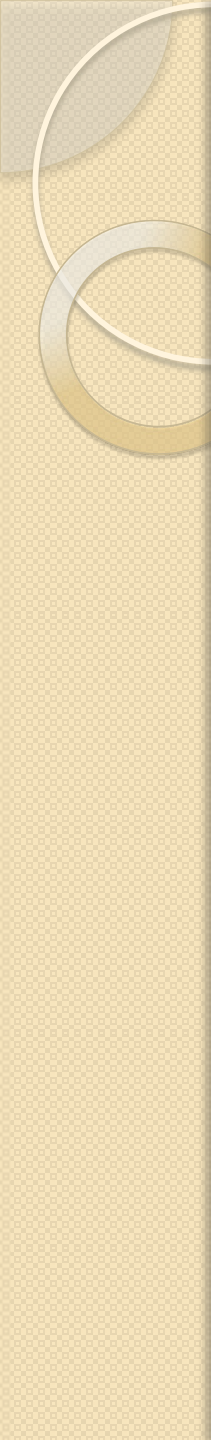
Subject-Right-Object Relationship





Functions of Land Registry

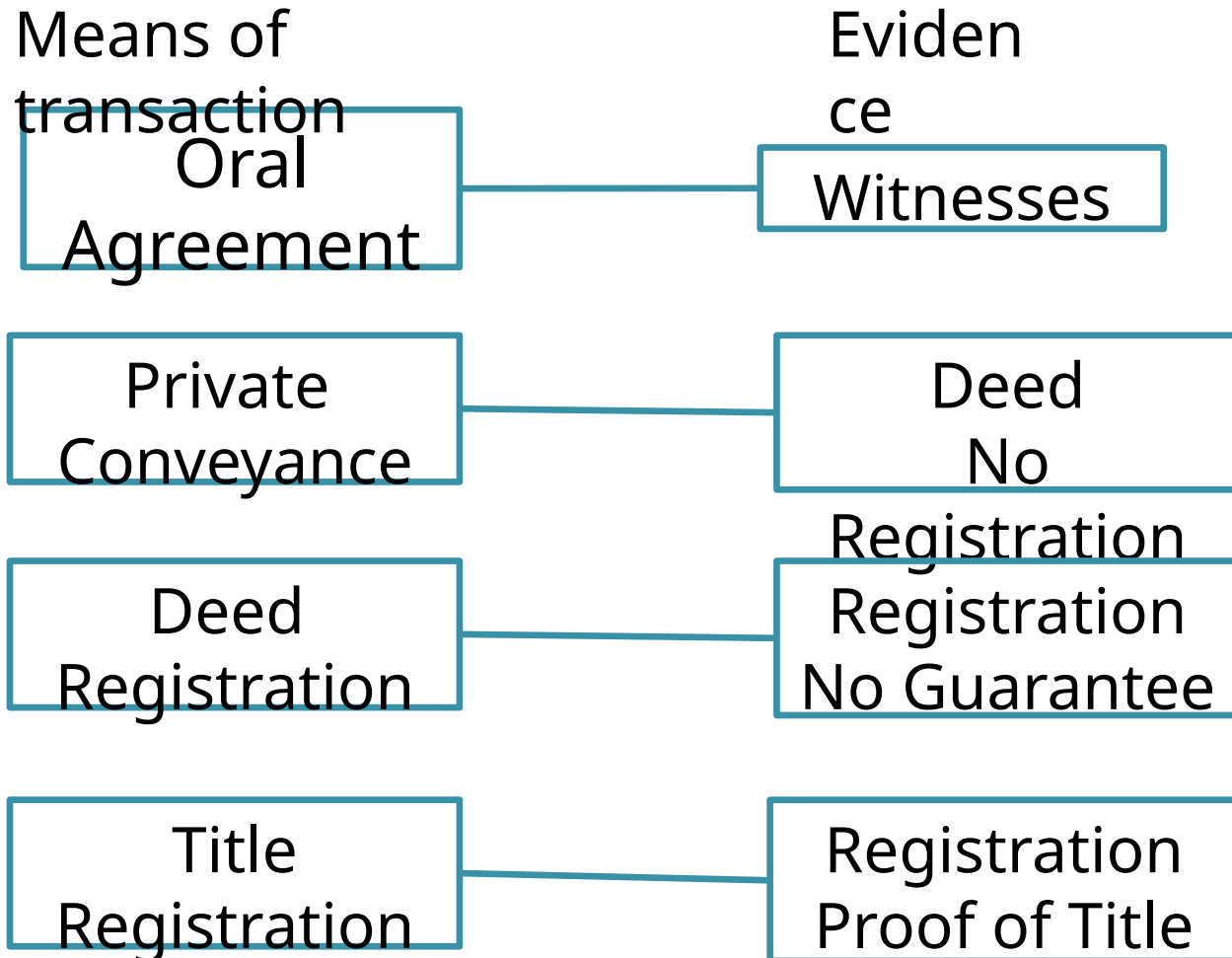
- Provide the means for recognizing formalized property rights and regulating transfer of these rights.
- Document certain interests in the land, including information about the land and the person related to this land.
- Record mortgage information (separate registers in some countries).
- Provide documentary evidence required for resolving land disputes.
- Provide land information required for different public functions (e.g., land valuation).



Development of Registration System

- Many societies, when they have a market economy, have introduced individual control over land, trees, plants & buildings as well.
- Technology has played a role in the development of land registration system.
- Land can not be control completely like movable goods but one can possess a strong right in a piece of land.
- Problems arise how to transfer these rights and how to arrange for other people to see who owns such a good.
- An important question in this regard is the manner in which a transaction is confirmed and documented. With the development of societies, different types of transaction evidence have developed.

Types of Transaction Evidence (Larson, 1991)



Symbolic Transfer/Oral Agreement

- ❑ In a paperless society, transaction was based on oral agreements, which would be completed by handing over a small good.
- ❑ In Ghana, it is called *cutting of guaha*, whereby the seller gives or breaks a leaf, twig, blade or grass from the land to the purchaser.
- ❑ In the Netherlands, the seller used to throw a twig or blade from the land to the purchaser.
- ❑ This symbolic work has to be performed in presence of the witness.

Private Conveyancing

- Under a private conveyancing system, land transactions are handled by private arrangements.
- Societies in which writings became normal, started to use paper to witness the transfer.
- The documents witnessing a transfer are often called deeds.
- Traditionally, these deeds were handed over to the new owner and all of the previous deeds were handed over to a next new owner over & over again. Usually, all these documents were checked by a legal professional (judge, notary) before the next transfer was made. This system is called *private conveyancing*.
- Notarial version of private conveyancing is still found in many parts of Latin America.

Risks of private Conveyancing

- Requires to provide all previous deeds/documents.
- An ignorant person may destroy such valuable documents.
- The documents may be destroyed due to natural disaster.
- The documents may be stolen by someone.
- Someone may falsify the documents and sell the land to an innocent third party.
- Someone may duplicate the documents and sell the land more than once (twice, thrice,..). There may be conflict between these parties.
- Identification of land may also be difficult if it is described in an ambiguous way.
- The state has little control over the registration process and can do nothing in case of errors or fraud.

Registration of Deeds

- Instead of leaving the document in the ignorant owner, their storage could be entrusted to an independent third party.
- Under this system, a public repository is provided for registering documents associated with property transactions.
- In a *deed registration system*, the deed itself, being a document which describes an isolated transaction, is registered.
- Basic elements:
 - Logging of the time of entry of a property document
 - Indexing of the instruments
 - Archiving of the document or a copy
- Principles: Security, Evidence, Notice & Priority
- Countries adopting deed registration system: France, Spain, Italy, Belgium, The Netherlands and former colonies of those countries in South America, parts of North America, Africa and Asia.

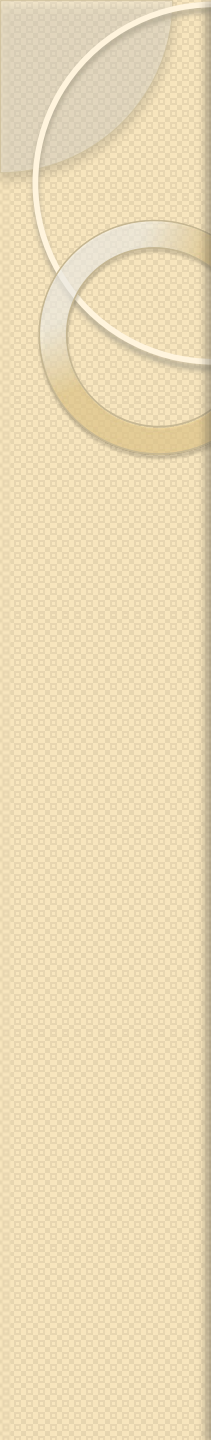
Registration of Deeds ...

❑ Weaknesses:

- Deeds merely prove the fact that a transaction took place, it does not prove title.
- It is not compulsory to register (all) changes of ownership
- The object the deed refers to is not very well described.
- The chronologically stored deeds are badly accessible.

❑ Advantages:

- Quick procedures
- Cheap



Ways to improve deed registration system

- Improve records management
- Standardization of forms & procedures
- Physical improvements to the record keeping & storing
- Use of microfilm for archiving & retrieval of data
- Use of flexible surveying & mapping methods
- Automation of indexes
- Improved accessibility to facilitate the searches
- Better object specialty (by clear description of boundaries, use of parcel maps, and use of straight forward identifiers)
- Use of computers
- Improving completeness (to register all transactions)
- Improving reliability by assuring that the registered information is as good as possible.

Registration of Title

- Designed to overcome the effects of deed registration system & to simplify the process of executing property transactions.
- The registers describe the current property ownership and the outstanding charges & liens.
- Registration is normally compulsory & the state plays an active role in examining & warranting transactions.
- In a title registration system, the right is registered rather than the deed.
- “a *title registration system* means that the deed is not registered but the consequence of that transaction, that is, the right itself (=title)”(Henssen & Williamson,1990).

Characteristics of Title Registration

- ❑ Main Principles: insurance or guarantee principle, mirror principle, curtain principle (register is the sole source of information, the purchaser need not see other proofs)
- ❑ Sure evidence
- ❑ Little need for investigation
- ❑ Active Registrars
- ❑ Parcel-based
- ❑ Disadvantages:
 - Complex
 - Requires highly skilled personnel
 - High initial capital
 - Time consuming (Registrar has to check formal requirements & validity of transaction)

Countries adopting Title Registration

- *English Group*: England, Ireland, some Canadian provinces, and Nigeria
- *German/Swiss Group*: Germany, Austria, Alsace-Lorraine, Switzerland, Egypt, Turkey, Sweden, and Denmark) and
- *Torrens Group*: Australia, New Zealand, some provinces of Canada, some parts of USA, Morocco, Tunisia and Syria

(Classification according to the land law and procedures of registration although they have the same principles)

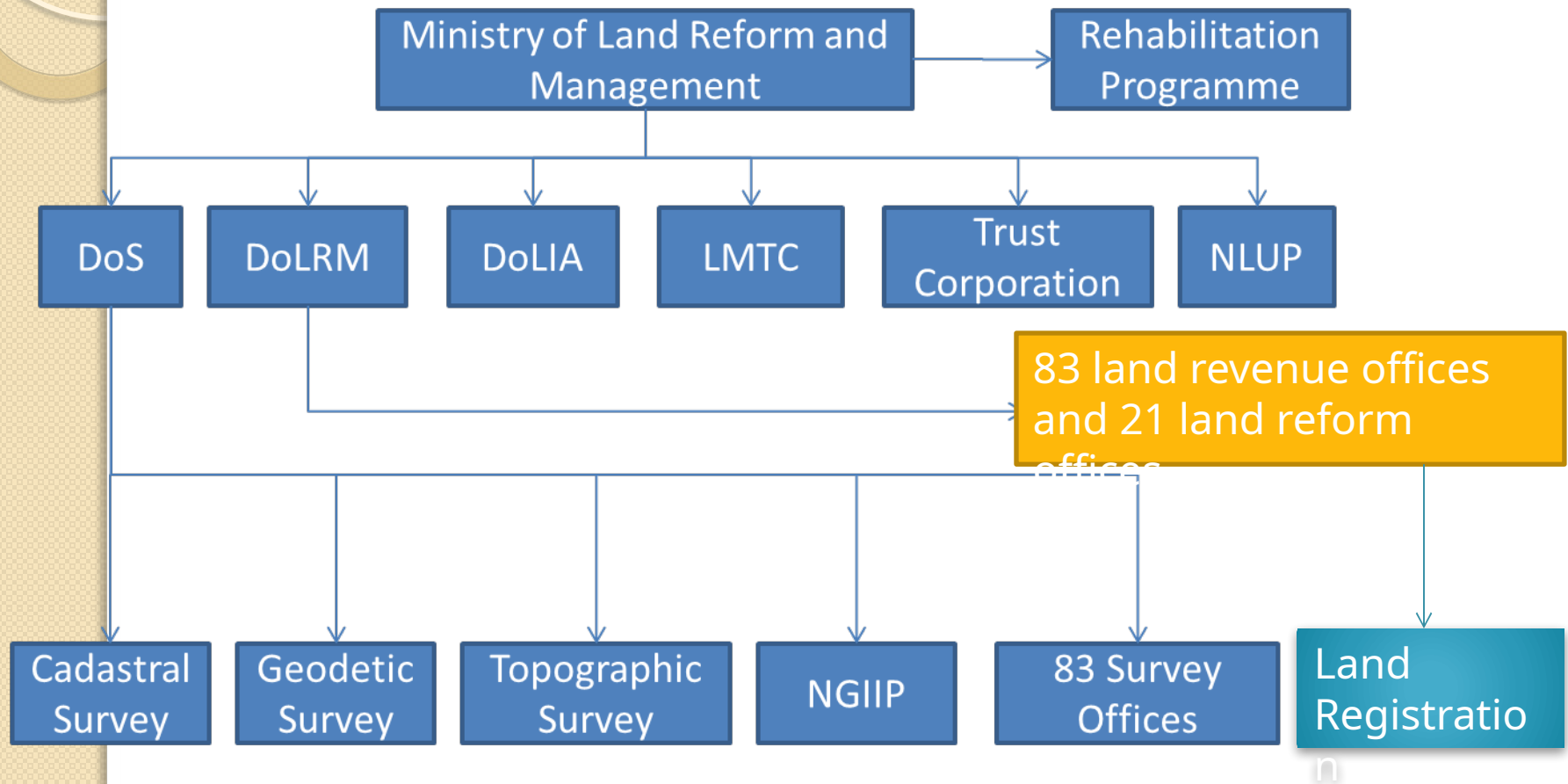
Thank You!!

A site plan of second international airport to be constructed in
Nijgadh of Bara, Nepal

Positive or Negative Systems

- In a positive system, there is a guarantee of registered titles and the damage caused by a mistake is settled by the State.
- The negative system does not guarantee the actual title. It only records the transaction.
- These systems are often compared with deed and title registration system. Henssen and Williamson (1990) have considered deed registration system synonymous to negative or passive system and title registration system as positive or active system.
- Exceptions: Germany - Negative version of title system South Africa - Positive version of deeds system

Land Registration in Nepal



Coverage of Registration

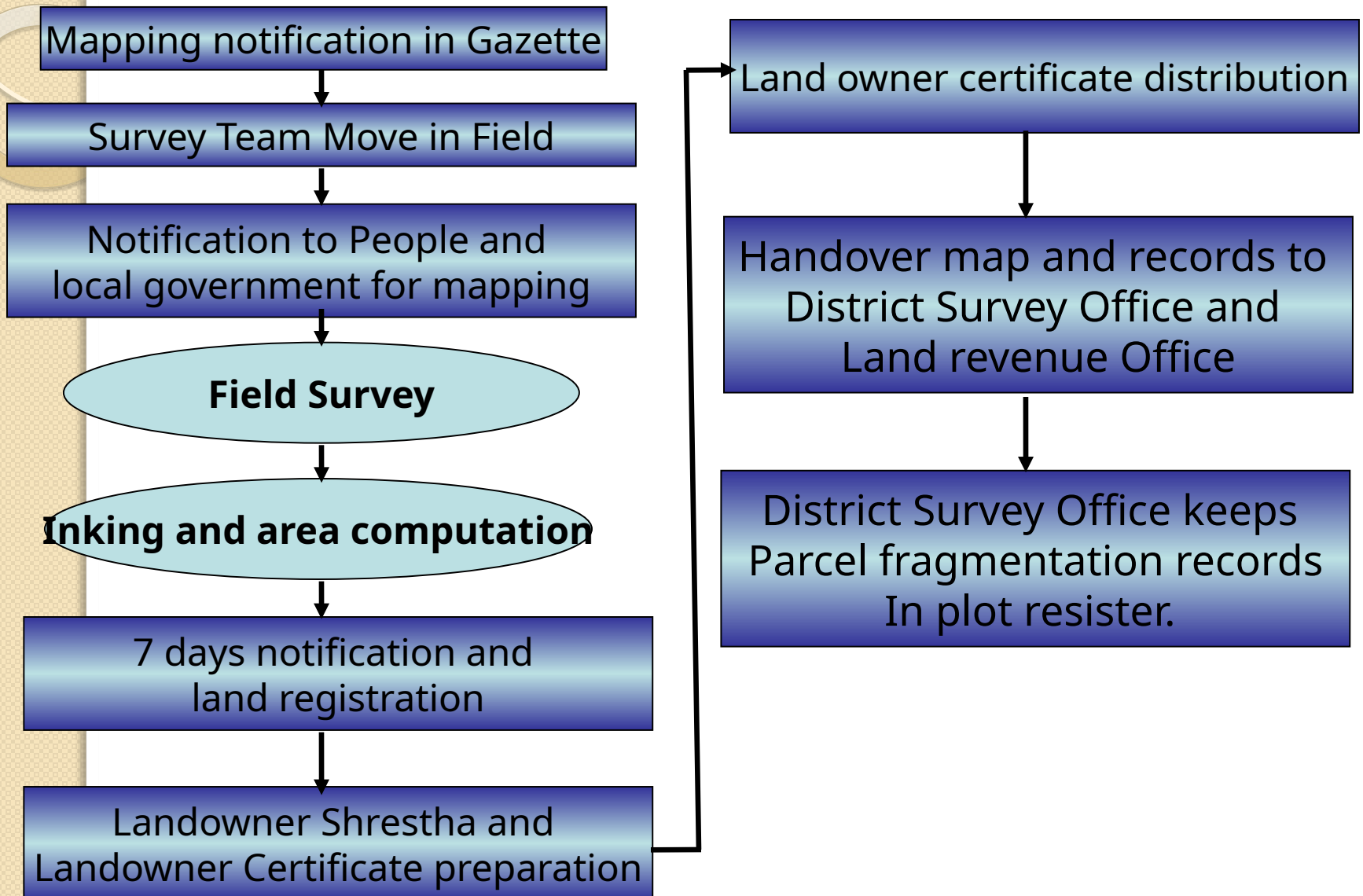
- There are around 25 million parcels and all are subject to be registered. Each parcel has a unique identity, which is common to both registers and to the revenue files as well.
- According to 2001 census, there are 19 million parcels with 6 million owners.i.e only 25% of total population holds land.

Categories of land registration in Nepal

According to Land Revenue Act (1978), the land revenue office should register all categories of lands as:

1. **Government lands** in the name of Nepal Government.
2. **Public lands** in the name of Nepal Government including its use.
2. **Raikar lands** in the name of the owners.
4. **Guthi lands** in the name of concerned Guthi
4. **Guthi Raitan Nambari** in the name the owner (Guti lands converted to Raikar or Raitan Nambari)
4. **Land and building** on possession in the name of the user
4. **Birta Lands** in the name of tenants
4. **Haal Aabadi** lands (virgin or unregistered lands) in the name of the tiller (since two decades implementation has been restricted by the government)

Procedure of land registration in Nepal



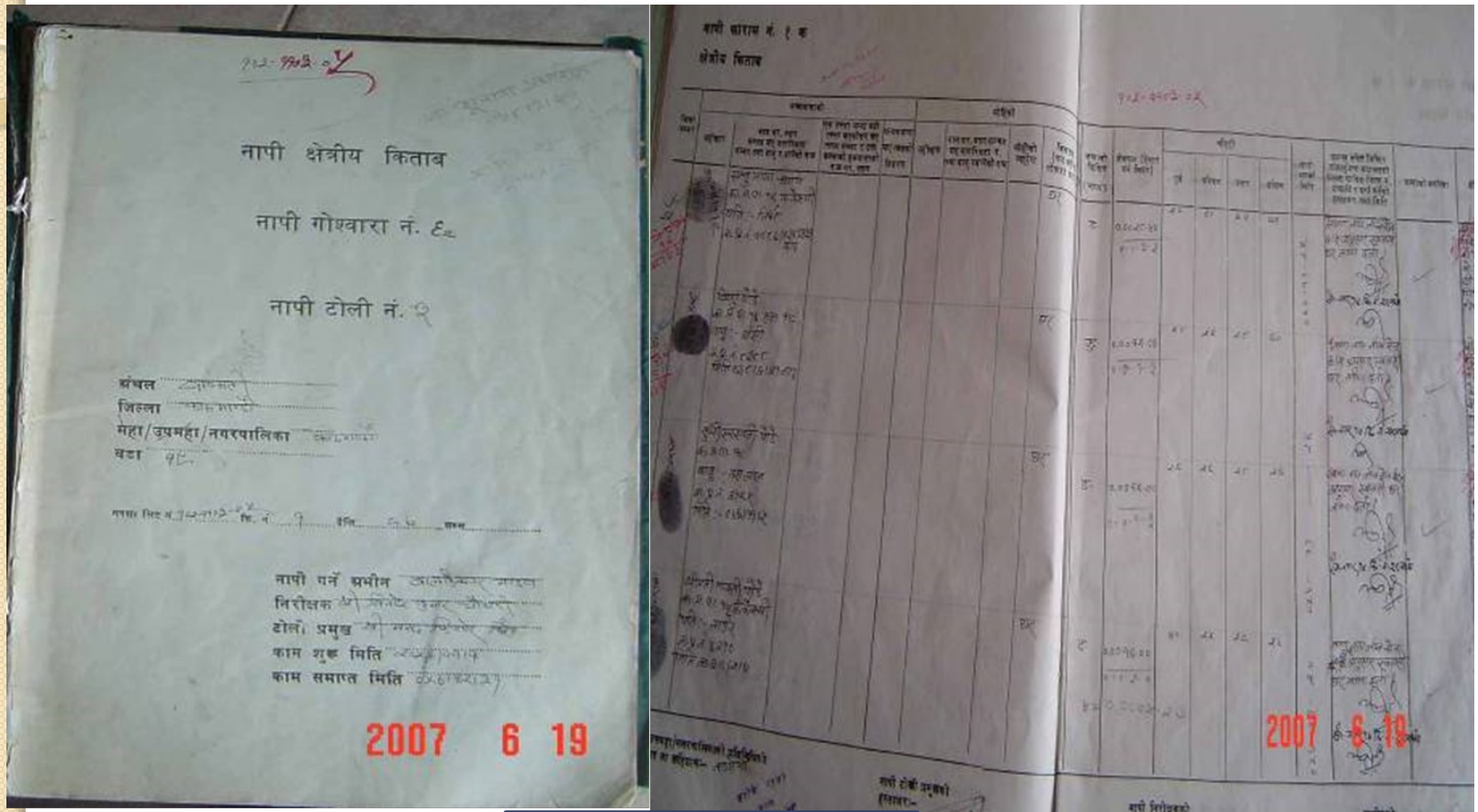
Initial Field Book (Prarambhic Terij)

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Area Computation Form

[illegible]

Documents cont...



Field book

Kisim Bargikaran (Land Use data)

4

Land ownership certificate(Lalpurja)

श्री X को वास्तव 480258

भूमिसुधार तथा व्यवस्थापन विभाग

भूमिसुधार तथा व्यवस्थापन विभाग

मालिक को कार्यालय इलाहाबाद

अपनी तस्वीर

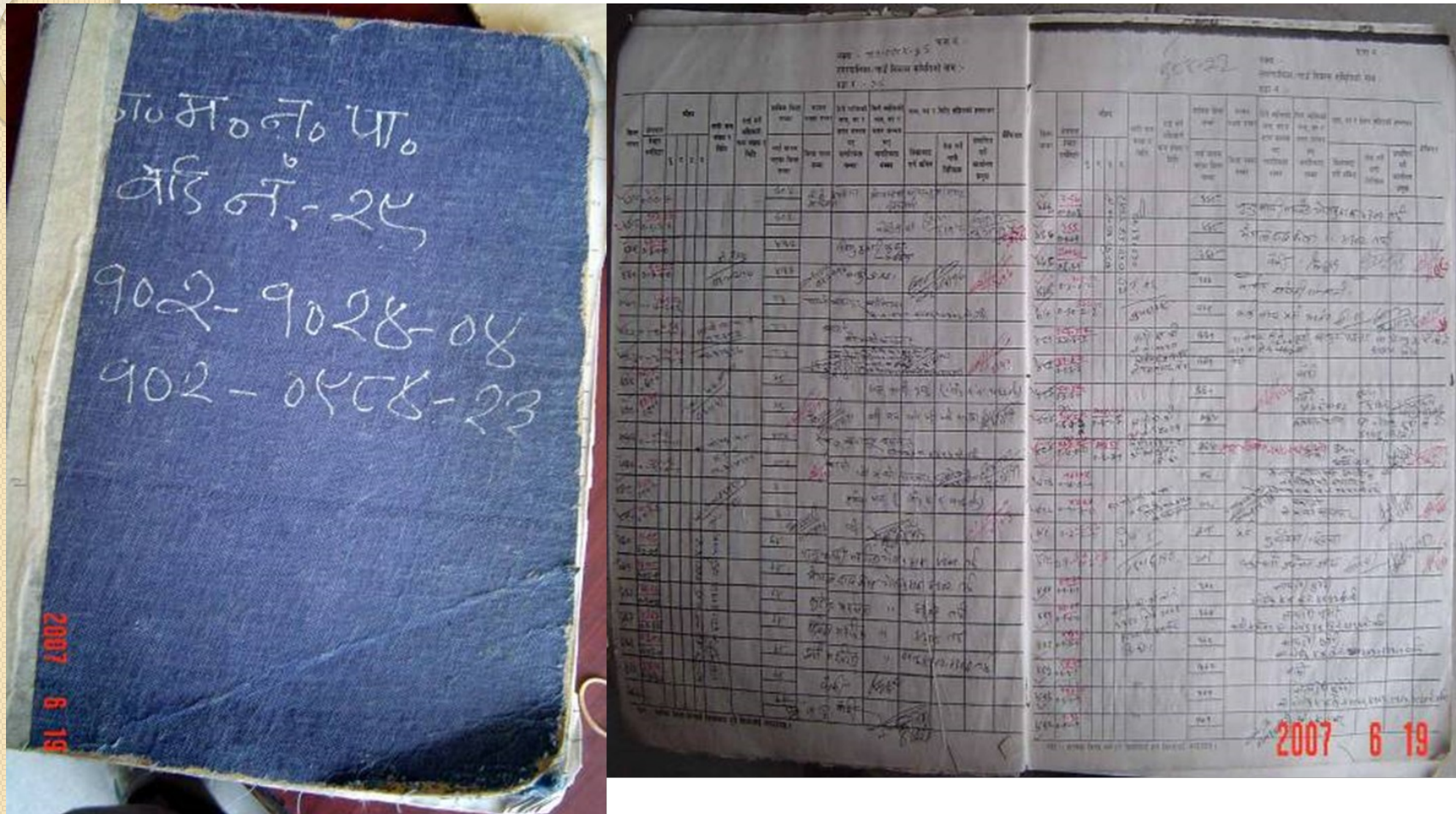
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Land ownership certificate(Lalpurja)

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Documents cont...

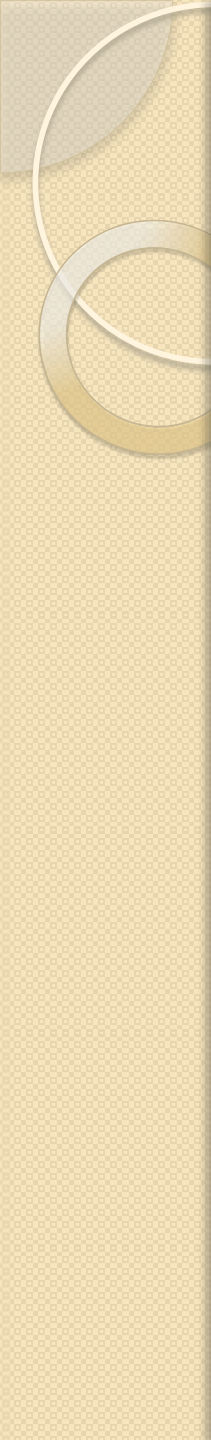


Plot Register

Registration of Property in Nepal

Detailed summary of the steps, time involved in registering property:

- **Obtain tax clearance certificate and certificate of access and building from the Municipality (relevant ward committee).**
Time to complete: 1-2 days
- **Hire lekhandas or a junior lawyer**
Legally, the parties can prepare the transfer deed by themselves, but normally it is done by the lekhandas, or scribes.
Time to complete: 1 day
- **Registration of the deed and issuance of a new title certificate**
Time to complete: 1-2 days

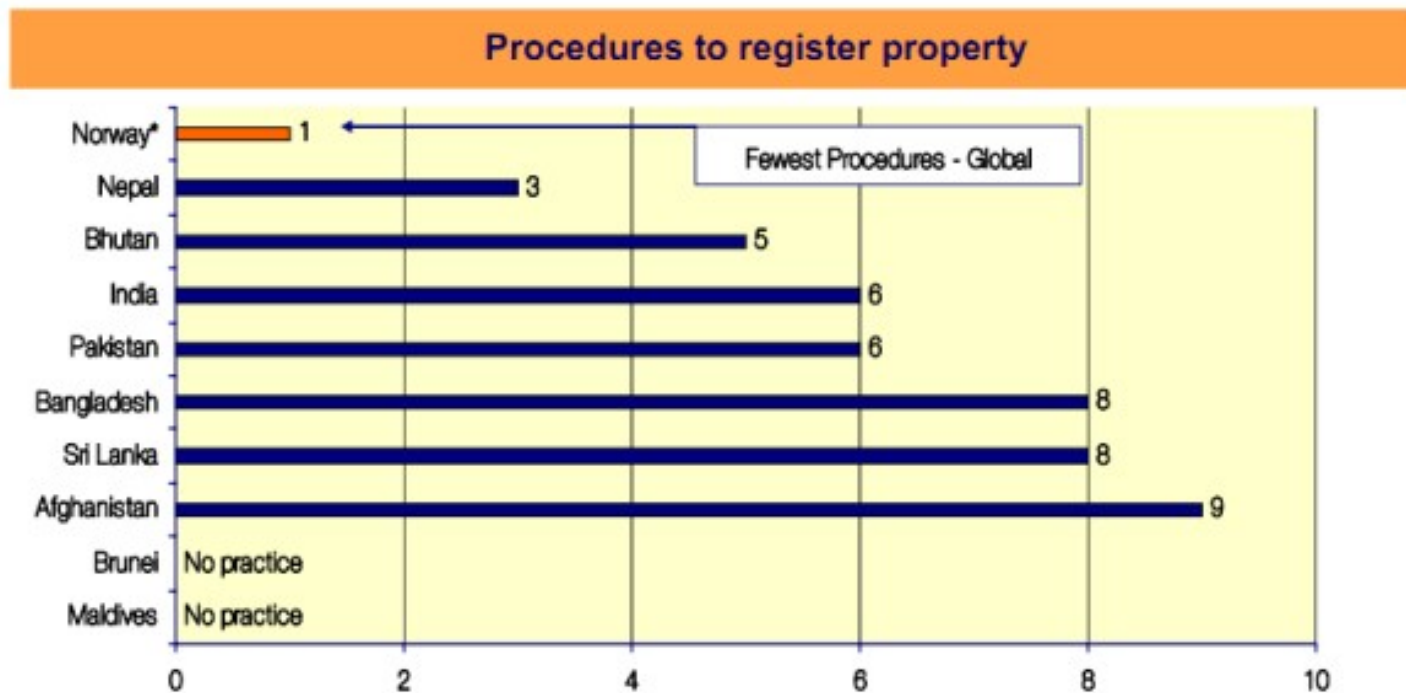


Drawback on our registration system

- Lack of technology
- Use of paper documents and maps
- Improper management of these documents
- Insufficient skilled manpower
- Lack of awareness among people in rural areas about the registration system resulting in fraud cases

Comparative study with other nations- Procedures

Benchmarking—registering property
South Asia—compared with global best practice

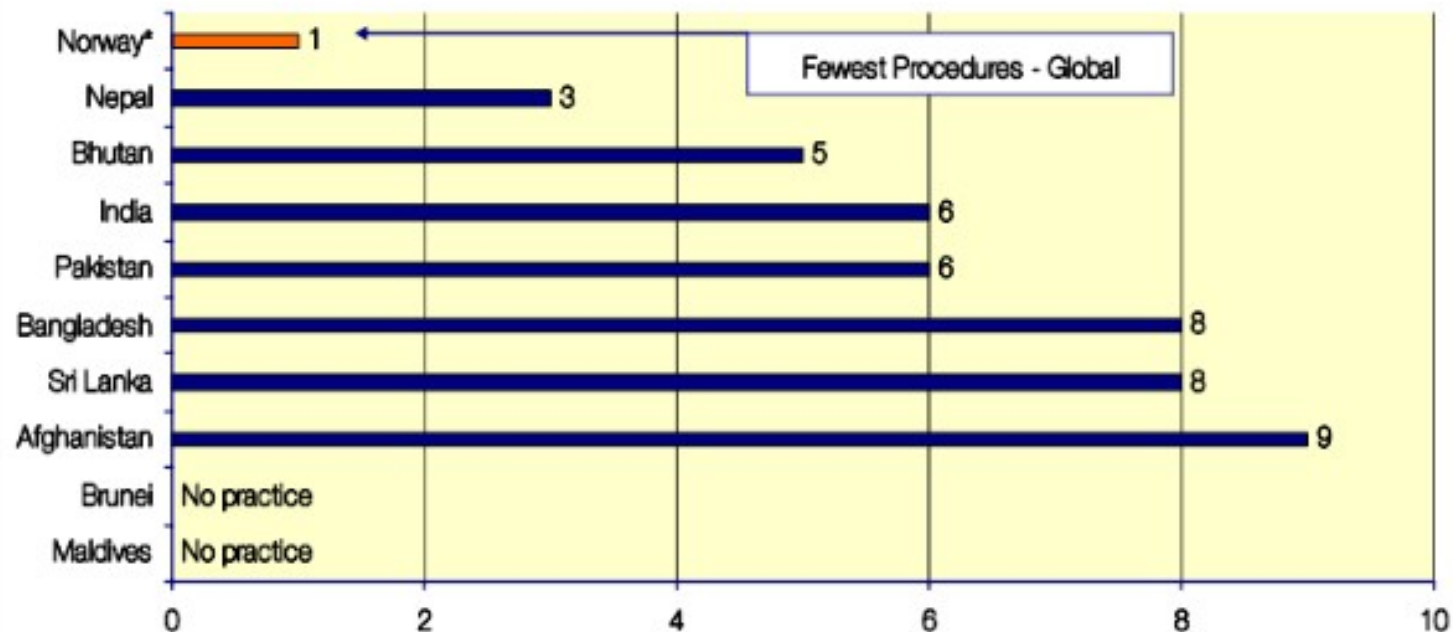


*Another economy with the fewest procedures to register is Sweden.

Source: *Doing Business* database.

Comparative study with other nations- Time taken

Time to register property (days)



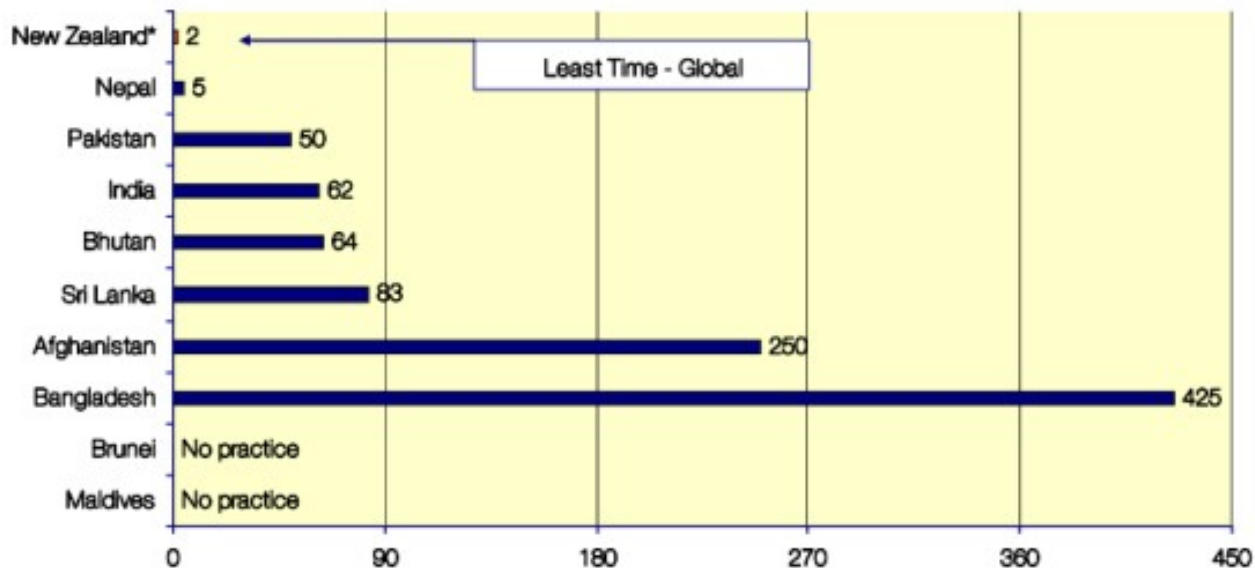
*Other economies with the least time to register include Sweden and Thailand.

Source: *Doing Business* database.

Comparative study with other nations- Cost

Benchmarking—registering property
South Asia—compared with global best practice

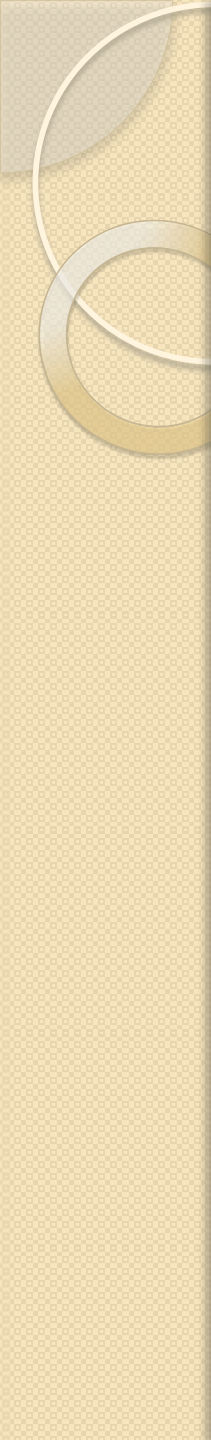
Cost to register property (% of property value)



Source: *Doing Business* database.

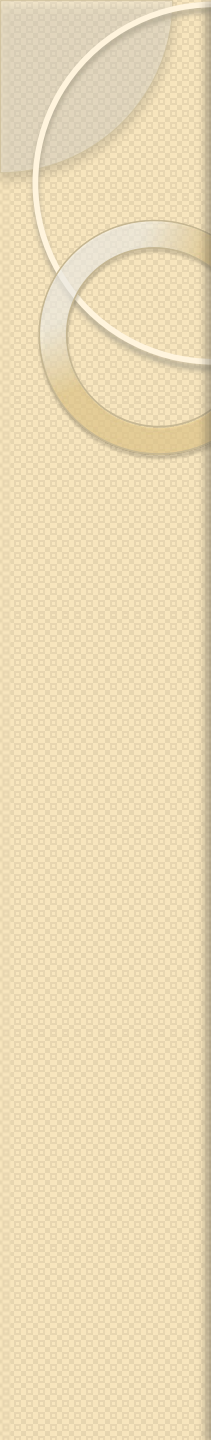
Registration System Comparison

Criteria	The Netherlands	Denmark	Finland	Sweden	Nepal
Registration system	Deed	Title	<i>Title</i>	Title	Deed
Rank in registering property	22	39	17	7	27
Number of procedures	2	6	3	1	3
Duration (days) for registering property	5	42	14	2	5
Organization structure	Unified	Separate	Merging	Unified	Separate
Land Registry	Kadaster	Land Registry Court	District Court	District Court	LRO



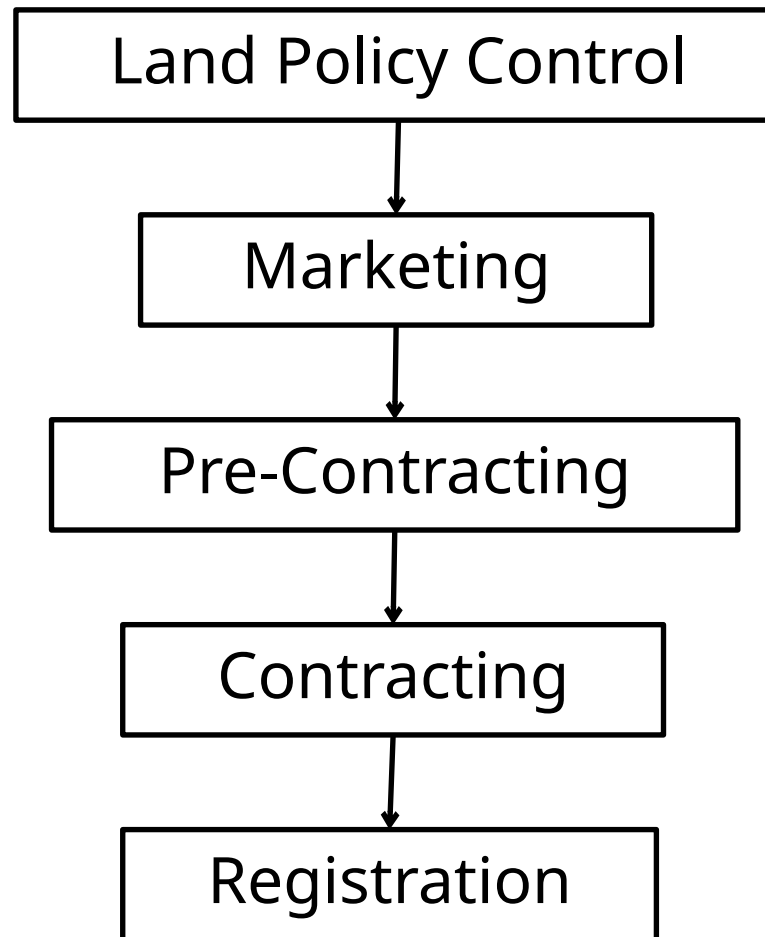
Effectiveness of our registration system

- It is less time consuming
- cost effective and
- less administrative procedure in global contrast



Land and Property rights transfer process

Process of Land Registration



Process of Land Registration

Land
Policy
Control

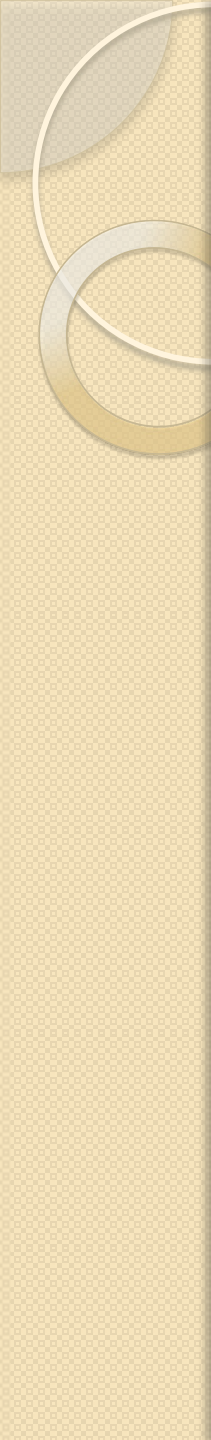
Different policies of the government can affect property transaction. The land use policy can provide right of pre-emption for land to the municipalities. Also, land policy may favour certain group of people at the expense of others and their refusal is required to sale the property to others.

Marketin
g

Searching for possible buyer and seller, finding creditor, negotiation on conditions of sale and judging possibility of financing transaction are the main activities of this step.

Process of Land Registration

Pre-contracting	A preliminary contract of sale is often used to clarify the terms of contract and bind the parties to work continuously towards a final agreement.
Contracting	Preparation of deed, financing or mortgaging, handover of purchase amount and signing deed or contract are the main activities of this step.
Registration	This step comprises the legal scrutiny and other activities associated with entering the change of ownership in a public register. As a result, the transaction becomes transparent and protected against the third parties.



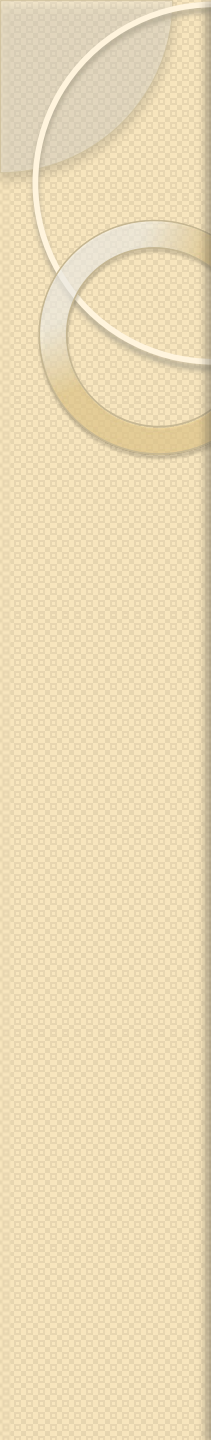
Land Registration System of Nepal

Legal Provision

- Responsibility of registration of deed is assigned to the LROs (Article 8 of Malpot Ain, 2034).
- Different Chapters of *Muluki Ain* has provisioned to register different types of deeds
- Only the licence holder law professional has right to write any deeds or application to be submitted in any offices except written by the applicant him/herself (Nepal Law Professionals Council Act, 1993)
- Electronic-Business Act, 2005 has provisioned for electronic business and digital signature

Type of deeds and concerning Chapters of *Muluki Ain*

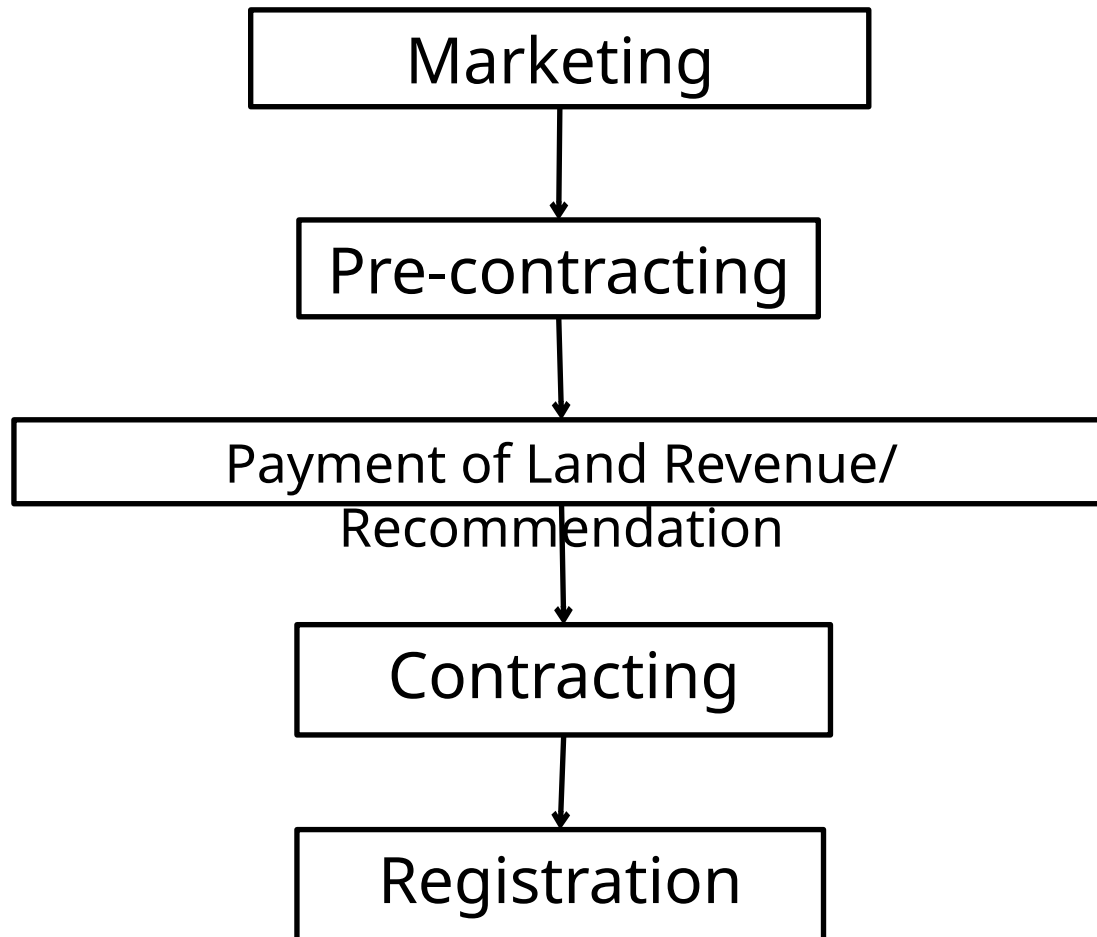
Deeds	Chapters
Deeds relinquishing rights by sale or otherwise	<i>Registrationko</i> (1)
Mortgage document of any type	<i>Registrationko</i> (1)
Bond re-mortgaging usufructuary or simple mortgage	<i>Registrationko</i> (1)
Deeds of bequeath (se. ba.)	<i>Registrationko</i> (1) & <i>Dan Bakasko</i>
Deeds of exchange	<i>Registrationko</i> (1)
Deeds of property division (<i>Amshabanda, Chhodpatra</i> and <i>Amsha Bujheko Bharpai</i>)	<i>Registrationko</i> (1) & <i>Amshabandako</i>
Deeds of severance or amalgamation of severed immovable property (hak chhdi diyeko likhat)	<i>Registrationko</i> (1) & <i>Amshabandako</i>
<i>Halaiko bakaspatra, Danpatra, Ashtaloha</i>	<i>Dan Bakasko</i>
Deeds of Adoption	<i>Dharmaputrako</i>
Any kind of documents which is not compulsory to register under Section 1 of Registration	<i>Registrationko</i> (1)



Documents to be included with deed

- Joint application of the vendor and buyer
- Original land ownership certificate
- Receipt of land revenue of the current year
- Citizenship of vendor and buyer
- Recommendation letter about house and road, valuation report of building (if any)
- Birth certificate and the citizenship of father (in case of children below 16), recommendation from the local bodies (if the owner is foreign citizen)
- Deeds

Registration Process (Subedi, 2009)



Registration Process ...

I. Marketing

1. Contacting real estate agent
2. Advertisement
3. Inspection of property and examining crediting options
4. Examining creditworthiness and promising for loan

II. Pre-contracting

5. Agreement on conditions of sale
6. Signing pre-contract paper

Registration Process ...

III. Payment of revenue/obtaining valuation report & recommendation letter

- 7. Submitting application
- 8. Verification and preparation of documents
- 9. Payment of revenue
- 10. Issuing document

IV. Contracting

- 11. Preparation and signing of deeds

Registration Process ...

V. Registration

12. Checking deed and documents
13. Checking records
14. Registration of application (*tokan lagaune*)
15. Order for parcel sub-division
16. Registration of parcel-sub division order
17. Order to the concerning section
18. Checking deeds
19. Parcel identification and area check
20. Field verification
21. Parcel sub-division and temporary update
22. Checking parcel sub-division plan

Registration Process ...

23. Submission of parcel sub-division plan
24. Identification of vendor and buyer (*Sanakhat Garaune*)
25. Checking price
26. Collection of registration fee
27. Registration in deed register
28. Registration
29. Updating record and preparation of ownership certificate
30. Issuing ownership certificate and registered deeds
31. Archiving deeds
32. Inking order
33. Inking and updating cadastral records
34. Payment of purchase sum

User Requirements

Aspects	User requirements
Registration process	• One stop shopping • Integration of land administration services • Removing or merging unnecessary steps • Basic services from the local level • Electronic services • Compulsory field verification • Accelerating the process of obtaining valuation report and recommendation letter
Legal aspect	• Revision of existing rules and regulations in order to provide tenure security • Integration of land related laws • Access to information to all concerning parties
Organizational aspect	• Integrated organization structure • Provision of private surveying • Reduction on number of employees • Hiring trained manpower • Coordination among concerning organizations

User Requirements (contd.)

Data	• Parcel-based system • Use of unique identifiers • Simplification of deed form • Access to updated information • Up to date records of buildings and road
Technological aspect	• Computerization of records • Integrated information system • Online information system • Digital data transfer • Planting high capacity software • Improvement on surveying technology

Registration System- Comparison

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Registration System-Comparison ...

Criteria	The Netherlands	Denmark	Finland	Sweden	Nepal
Deed prepared by	Notary	Real Estate Agents (mostly)	Conveyor	Form	Lekhandas/ Conveyor
Signature verified by	Notary	Municipality	Witness	Bank	LRO
Deed submitted by	Notary	Municipality	Bank	Bank	Lekhandas
Online services	√	√	X	√	X
Stops	1	1	1	1	3
Time of parcel sub-division	After confirmation of reg.	Before registration	After confirmation of title	During registration	During registration
Surveying responsibility	Government	Licensed Surveyor	Government / Municipality	Government/ Municipality	Government

Assignment

- Explain in brief about the land registration system of Nepal.

Note: Explanation requires step wise process.

Multiple/Joint Ownership

- Involves two or more people who share some rights of financial interests in a particular property i.e. most of time in term of real property
- There are a number of ways of structuring joint ownership, each with different consequences, all involving at least two distinct parties, however, each with some recognized ownership interest in the land
- Most joint land ownership scenarios fit within two main categories: land being purchased and land being inherited